01 / 10 • 12-month B model • INR lakh

Defer or redesign. Do not launch on the supplied gates.

Conditional recommendation: keep the full growth bet on hold in this simulation. Growth adds only 0.4 operating, versus a proposed increment of at least 2. Company cash ends at 1.1 against a proposed floor of 2. Quality and the dated cash minimum remain UNKNOWN. [S1, C1]

Decision requested in the simulation

Choose defer or commission a separately modeled redesign/staged alternative. Do not treat this recommendation as permission to launch, share with a real board, release capital, hire, contract or collect participant data. No actual decision-maker has approved those actions.

Comparable B alternatives	Current conclusion
No new growth bet	Operating 4; cash movement 1; ending cash 11. A counterfactual, not proof of real safety.
Full launch	Operating 4.4; cash movement -8.9; ending cash 1.1. Reject unconditional pass.
Redesign / stage	No numeric design is supplied. Build and test a fresh coherent model.
Defer	Retain the option while obtaining reliable evidence and actual authority.

Amount and time basis

All amounts are INR lakh over the same twelve-month B window. Opening unrestricted company cash is 10. No funding amount is approved. The endpoint shortfall of 0.9 is not an estimate of peak funding. A is a separate equal-length fictional completed window; B is a forecast.

S1: preserved original D86 synthetic case at https://top1os.dev/; artifact prepared 13 November 2026. This date is not a company observation date. Ten pages is a practice constraint, not a board rule.

Set the boundary before comparing the plans.

The case is an invented Indian SME exercise. There are no customer interviews, contracts, audited statements, real delivery observations or real sponsor signatures behind these inputs. The aim is to reason consistently, not to make fictional forecasts look verified.

Declared accounting and timing basis [S1]

Two equal twelve-month windows A and B use lakh rupees. All operating costs are paid within B. Opening receivables, inventory and payables are zero. The model excludes taxes, interest, depreciation, financing and disposals. Operating remainder is therefore before depreciation, interest and tax, not net income. No supplier deferral or funding inflow may be inserted to rescue the result.

Status	What is supplied	What it does not establish
A: fictional completed observation	Revenue 24	No real historical company record
B: no-bet forecast	Revenue 30; operating 4	No validated demand or causal control
B: growth forecast	Revenue 36; operating 4.4	No observed actual benefit
Proposed gates	Increment >=2; cash never <2; quality >=95%	No statutory standard or actual approval

Roles and rights

The simulated analyst can recommend, a fictional sponsor can be asked a question, and a learner can revise a view. None of those is real owner authorization. Commercial rights, data permissions, financing terms and authority to execute remain UNKNOWN. Use the same standard for no-bet and launch.

S1 supplies the assumptions and numbers. S6 provides historical cash/working-capital framing, not current tax rates or Indian legal advice. Source register: page 10.

Separate demand assumptions from measured effects.

Revenue rises from fictional A = 24 to forecast growth B = 36, a before/after difference of 12. But forecast B without the bet is 30. The same-window modeled increment is only 36 - 30 = 6. Even that 6 is conditional on assumptions, not a measured causal effect. [S1, C2]

Revenue bridge / lakh	Amount	Evidence status
Fictional A revenue	24	Stipulated case observation
A to B baseline trend	+6	Forecast without bet, not caused by bet
B growth increment	+6	Conditional counterfactual difference
B growth total	36	Forecast, not actual

Evidence that could change the recommendation

A real analysis would need a defined eligible market, dated and permissioned demand evidence, price/volume assumptions, capacity constraints and a defensible no-bet counterfactual. It would test whether customers are new or displaced, whether price changes explain the sales increase, and whether collections match actual terms. No such evidence is claimed here.

Contrary explanations and stakeholder questions

Time trends, prices, customer selection, capacity and competing changes can confound before/after comparisons. Sales may favor the growth headline; finance should ask about incremental cash; delivery should ask about reliable capacity and quality. These are authored perspectives, not records of conversations or consent. A clear pyramid headline summarizes logic, not proof.

S1: synthetic numerical case. S2/S3: communication structure only. Do not label the full 12 as caused by the bet or join forecast B to A with an unbroken actual-performance line.

Reconcile operating uplift and cash absorption.

Twelve-month B / lakh	No bet	Growth total	Increment
Revenue	30	36	6
Variable costs	18	21.6	3.6
Avoidable fixed costs	8	10	2
Operating	4	4.4	0.4
Collections	27	25.2	-1.8
Closing receivables	3	10.8	7.8
Capex	0	2.5	2.5

Economic bridge [S1, C3]

Incremental operating = 6 - 3.6 - 2 = 0.4. Growth operating 4.4 is the total, not 4.4 new earnings, and not cash. The proposed operating uplift target of 2 is missed by 1.6. Revenue 36 is also a total, not incremental sales.

Receivables bridge [S1, C4]

With zero opening receivables and no other AR movements, no-bet closing AR = 30 - 27 = 3; growth AR = 36 - 25.2 = 10.8. Incremental AR is 7.8. Higher sales combined with lower collections absorb cash. Do not count receivables as a second benefit or silently assume they are all collectible.

This simplified bridge assumes no write-offs, noncash revenue or other receivable changes. A real review needs the aging, contractual terms, collectibility and settlement dates, none of which is supplied. New evidence must change the model, not merely its headline.

All numeric inputs are invented S1 values. Calculations are exact arithmetic identities on the declared basis, not validation of demand, accounting records or learner performance.

Endpoint failure is enough. Peak funding is still unknown.

Cash bridge / lakh	No bet	Growth total	Increment
Operating	4	4.4	0.4
Less closing AR	3	10.8	7.8
Less capex	0	2.5	2.5
Cash movement	1	-8.9	-9.9
Opening company cash	10	10	0
Ending company cash	11	1.1	-9.9

Two routes reconcile: growth direct cash = 25.2 - 21.6 - 10 - 2.5 = -8.9. Incremental cash = 0.4 - 7.8 - 2.5 = -9.9, also -8.9 - baseline cash movement 1. Ending growth cash is 10 - 8.9 = 1.1. [S1, C5]

Do not invent a funding draw

The proposed floor is 2, so the endpoint shortfall is 0.9. The case has no dated collection/payment events. Exact cash minimum and peak external funding are UNKNOWN; they may be worse than the endpoint. A positive endpoint would not prove the floor is never breached. Here, the failed endpoint already rules out an unconditional pass.

Financing and reversal conditions

There is no approved financing, verified lender commitment, interest schedule or cancellation route. Before any real action, obtain a dated company cash schedule with opening balances and all relevant obligations, reconcile it to the economics, test downside collections, and obtain actual owner authority for cost and terms. A teaching recommendation does not create those permissions.

S1 cash identities; S6 historical working-capital framing. Cash floor 2 is a fictional review preference, not a legal or universal liquidity rule.

Test coherent scenarios, not isolated optimistic cells.

Growth B / lakh	Downside	Base	Upside
Revenue	30	36	42
Variable costs	18	21.6	25.2
Fixed costs	10	10	10
Collections	21	25.2	33.6
Capex	2.5	2.5	2.5
Operating total	2	4.4	6.8
Increment vs no-bet 4	-2	0.4	2.8
Receivables	9	10.8	8.4
Cash movement	-9.5	-8.9	-4.1
Ending company cash	0.5	1.1	5.9

The no-bet operating 4 and cash movement 1 remain unchanged in every comparison. Downside reverses the incremental operating sign to -2. Upside clears the operating and endpoint cash screens, but dated minimum, delivery quality, permissions and real financing remain UNKNOWN. No scenario probability is assigned. [S1, C6]

Revenue 40 clears only one algebraic target

At variable cost 60% of revenue, contribution is 40%. Operating = 0.40 × revenue - 10. To add 2 above baseline operating 4 requires operating 6, so revenue = (6 + 10) / 0.40 = 40. This is not a validated sales forecast, funded plan, quality result or authority to act.

S1 supplies coherent scenarios and threshold assumptions. A redesign must update price, volume, costs, capacity, collections and quality together, then rerun all gates.

Unknown quality and rights are decision gaps.

Gate / risk	Supplied status	Needed before a real pass
Delivery quality >=95%	UNKNOWN; no eligible count or success count	Defined numerator/denominator, reliable records and permitted measurement
Cash never below 2	Endpoint 1.1 FAIL; exact minimum UNKNOWN	Dated reconciled company cash schedule and authorized funding
Operating increment >=2	Base 0.4 FAIL	Coherent verified redesign or changed evidence
Authority and rights	UNKNOWN / not granted here	Real owner decisions and permissioned data/use
Capacity and rework	UNKNOWN	Costed capacity and quality dependencies

What would falsify the preferred story?

Demand that disappears under a consistent no-bet counterfactual; cost/capacity changes that remove contribution; collections that arrive after obligations; quality below the proposed threshold; lack of rights or funding. The analyst must preserve these adverse findings even if the presentation becomes less persuasive.

What would justify revisiting defer?

A separately coherent model that meets operating and dated cash gates, credible delivery evidence under a stated measurement rule, and actual authority for the proposed actions. A larger revenue line alone is insufficient. Unknown quality must remain UNKNOWN, never zero or 100%. No interviews, reviews, recordings or independent signoffs have occurred for this artifact.

S1: gates are fictional case preferences. S2-S5: communication and business-plan framing, not permission, evidence of present facts or universal board rules.

Give alternatives the same evidentiary burden.

Alternative	Trade-off	Evidence / condition
No new bet	Avoids modeled extra outflow; may forgo an option	Verify real baseline demand, obligations, quality, rights and cash. Do not call it risk-free.
Launch full bet	Adds 6 modeled sales but only 0.4 operating; cash increment -9.9	Base fails operating and endpoint cash. Do not launch unconditionally.
Redesign / stage	Could change cost and timing, but no numeric design exists	New demand, cost, cash and quality model with approval. Do not hide delayed supplier payment.
Defer	Preserves a choice but may carry opportunity cost	Define evidence needed and next review. No invented estimate of delay cost.

Recommendation under the same standards

Defer or redesign is the conditional recommendation, not a claim that doing nothing is best in all worlds. The no-bet case needs the same scrutiny as the favored growth plan. Opportunity cost, competitive response and option expiry are not quantified in the source, so they remain explicit gaps rather than invented benefits.

No accidental execution

This exercise requests a simulated choice and an evidence plan only. It is not a stakeholder instruction, tentative preference converted to approval, signed legal resolution, financing commitment or consent to send the memo. Any real audience, spending, contract or data collection needs separate authority.

S1 alternatives. S4/S5 provide practitioner discussion framing; neither establishes Indian legal requirements, actual board practices for this user or permission to distribute.

Give fictional owners measurable stop-review gates.

The checkpoints below are simulated day 0/30/60/90 reviews, not dates of cash flows in the twelve-month case, calendar bookings or assignments to real people. All actual evidence and authority remain absent. [S1, C7]

Fictional owner	Day 0 artifact	Day 30 dependency	Day 60 / 90 stop-review
Demand / source	Claim/input/status register	Matched A/B windows and sourced assumptions	Defer if demand remains unsupported
Economics	Reconciled 0.4 uplift and -9.9 cash bridge	Verified demand, costs and capacity	Reject if increment <2; redesign coherently
Cash / finance	List missing dated events and funding	Dated receipts/payments, opening cash and all obligations	Stop if any cash <2 without authorized funding
Delivery quality	Define eligible deliveries and on-time successes	Permissioned reliable measurements and capacity/rework model	No pass if UNKNOWN or <95%
Rights / decision	Record no real approval	Verify actual rights, audience and owner decision	No real execution without authority

Dependency discipline

A due date does not make missing evidence appear. If collection dates are absent, the cash owner cannot sign a peak-funding estimate. If eligible deliveries are undefined, quality cannot be calculated. If review finds a material contradiction, preserve the earlier view, the new evidence and the revised decision before moving forward.

Actual learner work remains blank

No learner has defended this memo or logged a real objection here. Record an actual attempt, independent feedback and a revised view only when they happen. Do not prefill a score, mark the mandatory checks passed or use fictional owners as sponsor approval.

S1 fictional checkpoints and dependencies. The supplied self-check requires at least 8/10, including provenance, downside/reversal and owner/gate, plus a material objection. It is not independent verification.

Preserve the objection, sources and change trail.

Strongest authored objection: "Sales rise 24 to 36, operating is positive and upside ends at 5.9. Why wait?" Response: the 12 before/after change is not the 6 modeled increment. Base uplift 0.4 and endpoint 1.1 fail; upside still lacks peak timing, quality and authority. This is authored solo practice, not a participant quotation.

ID / decision-action-change	Status / next condition
1. Baseline comparison	Use B 30, not A 24, as counterfactual; retain original.
2. Increment definition	Separate totals 36/4.4 from increments 6/0.4.
3. Cash correction	Preserve -9.9 increment and end 1.1; no invented draw.
4. Downside reversal	Keep -2 uplift / end 0.5 beside upside, not hidden.
5. Recommendation	Conditional defer/redesign; no actual approval.
6. Evidence action	Quality, dated cash, demand and rights UNKNOWN.
7. Owner action	Fictional gates on page 9; no real appointments.
8. Actual review/change	NOT PERFORMED. Record date, objection, old/new view and evidence only after a real authorized attempt.

Original source/input register

S1: original D86 synthetic case, https://top1os.dev/; INR lakh; equal 12-month A/B windows; A fictional-observed, B forecast. Artifact date 13 November 2026, not observation date. C1-C7 above derive only from S1. S2/S3 Analyst Academy structure; S4 Sequoia board-deck guide; S5 Wharton 2010 edited interview; S6 MIT 2011 cash framing. Assigned Wharton 2015 video is separate. These are method sources, not proof of fictional numbers, current rules or completed audiovisual validation.

S7: Wharton - assigned Business Plan Writing101 (2015)
https://www.youtube.com/watch?v=zlrb_X6fYZ0

S2: Analyst Academy - slide structure (2021)
https://www.theanalystacademy.com/consulting-slide-structure/

S3: Analyst Academy - consulting slides versus regular slides (2021)
https://www.theanalystacademy.com/consulting-slides-vs-regular-slides/

S4: Sequoia - preparing a board deck
https://articles.sequoiacap.com/preparing-a-board-deck

S5: Wharton - effective business plans, edited interview (2010)
https://knowledge.wharton.upenn.edu/podcast/knowledge-at-wharton-podcast/how-entrepreneurs-can-create-effective-business-plans/

S6: MIT15.431 - explicit cash/working-capital reasoning (2011)
https://ocw.mit.edu/courses/15-431-entrepreneurial-finance-spring-2011/4a2e49e2bb9d4dbfe0bb7b89cccb1016_MIT15_431S11_lec01.pdf